

China Supplier Verification Checklist

What to check before you pay a deposit

Run these checks before you send a deposit to a supplier in China. Tick a box only when you have seen the evidence yourself or through an independent third party, and write a note next to anything you could not confirm. No single check is proof, so look at how several of them line up.

Supplier

Chinese legal name

Date

Checked by

STAGE 1 OF 6

Company identity

Who is the legal entity behind the quote?

- ☐ **Business license.** Ask for a clear copy of the business license (营业执照) and check that the company name matches the name on the quotation, the proforma invoice and the online profile.
- ☐ **Registry lookup.** Search the full Chinese company name or the 18-character Unified Social Credit Code in China's National Enterprise Credit Information Publicity System (gsxt.gov.cn) and compare the record with the license copy.
- ☐ **Status and history.** Check that the record shows the company as operating, and look for entries under abnormal operations, administrative penalties or recent changes of name, address or owner.
- ☐ **Business scope.** Read the registered business scope and check that it covers manufacturing in your product category, not only trading, wholesale or import-export.
- ☐ **Date of establishment.** Compare the establishment date in the record with the number of years in business that the supplier claims.
- ☐ **Registered capital.** Note the registered capital and ask whether it is plausible for the size of operation and order you are discussing, treating it as one signal and not as proof.
- ☐ **Registered address.** Write down the registered address from the record and keep it for the address and production checks in stages 2 and 3.

The registry is in Chinese only and can be hard to open from outside mainland China. Ask the supplier for the full Chinese company name exactly as printed on the license, and if the site will not load for you, ask a Chinese-speaking colleague, an agent or an inspection company to run the lookup.

STAGE 2 OF 6

Factory or trading company

Does it make the product, or resell it?

- ☐ **Company name.** Read the Chinese name on the license: 贸易 or 商贸 (trade) points to a trading company and 制造 or 实业 (manufacturing, industry) points to a producer, so use it as a quick first filter and not as proof.
- ☐ **Catalog.** Count how many unrelated product categories the supplier sells, because real factories usually have a deep but narrow range.
- ☐ **Who makes it.** Ask which factory makes your product and where it is, then test the answer with the other checks, because a "yes" to "are you a factory?" proves nothing.
- ☐ **Technical questions.** Ask a question about the manufacturing process for your product, such as the tolerance held on a key dimension, and judge whether the answer is specific or generic.
- ☐ **Live production line.** Ask for a short, unannounced live video of the line making your product, including raw materials arriving, the intermediate stages and the quality-control area.

- ☐ **Address on a map.** Look up the registered address on an online map or satellite view: a factory compound with loading docks fits production, an office tower or shared office space does not.
- ☐ **Customization test.** Make a small, specific request, such as a logo on the packaging or a color variant, and time how long a real answer takes.
- ☐ **Quotes at three quantities.** Ask for quotes at three different quantities and a breakdown of materials, labor, packaging and margin, and see whether the supplier can explain why the price changes the way it does.

No single clue is proof; when three or four point the same way, you usually know which one you are dealing with. A trading company can be a fine partner if you know that is what you are paying.

STAGE 3 OF 6

Production capability

Can it make your product at your volume?

- ☐ **Live walk-through.** Ask for a live video call on a day you choose that shows the production floor with workers present and working and the finished-goods warehouse, not just the office and a sample shelf.
- ☐ **Proof it is live.** During the call, ask the supplier to hold up a handwritten note with today's date and a word you choose on the spot.
- ☐ **Scale against the claim.** Ask them to walk to the far end of the floor and count the visible workstations, then compare with the headcount and floor area the supplier claims.
- ☐ **Key machine.** Ask to see, live, the specific machine or line that produces your product type, and note its make and model.
- ☐ **Capacity.** Ask how many production lines and workers are assigned to your product and what the monthly output is, then compare with your order size and delivery date.
- ☐ **Subcontracting.** If your order is larger than their stated monthly output, ask whether any process is subcontracted, to whom and where, and how that work is inspected.
- ☐ **Comparable past work.** Ask for photos or video of a comparable past project and for export documents to your region, not just "we export worldwide".
- ☐ **Third-party audit.** Ask for a recent third-party audit report and its report number, or arrange an independent visit if you cannot go yourself.

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Samples and specifications

Is what you approved written down and enforceable?

- ☐ **Written specification.** Write down dimensions, materials, tolerances, finish, packaging, labeling and quantity, and have the supplier confirm them in the order confirmation and not only in chat.
- ☐ **Sample against the specification.** Check the sample point by point against the specification by measuring, weighing and testing function, and keep your notes.
- ☐ **Production sample.** Ask for a production sample taken from the real run after the line is set up, because a hand-made sample from the R&D room shows what is possible once, not what the batch will be.
- ☐ **Signed, sealed sample.** Agree on a signed and sealed reference sample that both sides keep, and ask who on the production floor will have access to it.
- ☐ **Written remedy.** Get in writing what happens if the bulk shipment does not match the approved sample, for example rework, replacement, a discount or a refund.
- ☐ **Certificates.** Ask for the test reports and certificates your destination market requires, and check that the issuing lab, the certificate number and the exact model match your product.
- ☐ **Materials.** For materials that matter, ask for the material certificate or mill test report for the batch that will ship and not for a reference sample.

STAGE 5 OF 6

Contract and payment

Is the money going to the right company, on the right terms?

- ☐ **Order confirmation.** Get a formal order confirmation or contract that states the product and specification, quantity, quality standard, packaging requirements and delivery date.
- ☐ **Legal name.** Check that the seller's name on the contract and the proforma invoice is the name on the business license, the online profile and the bank account.
- ☐ **Bank account.** Check that the account receiving your payment is in the registered company name and not in an employee's personal name.
- ☐ **Payment milestones.** Agree in writing what triggers each payment, and whether the balance is due before or after your own pre-shipment inspection.
- ☐ **Platform protection.** If you buy through Alibaba.com, pay through its secure payment platform and put the specification in the order, because Alibaba says Trade Assurance applies only to payments made that way and relies on your online order and messages.
- ☐ **Paper trail.** Keep quotations, order confirmations, messages and payment receipts together in one folder per supplier, because a dispute is decided on that record.
- ☐ **Payment pressure.** Treat urgency tied to a payment deadline, such as "prices increase next week", as a reason to ask for the same terms in writing without the deadline.
- ☐ **Design protection.** Before you send a custom design or tooling specification, sign a non-disclosure, non-use and non-circumvention (NNN) agreement that is enforceable under Chinese law, and agree in writing who owns the tooling.

STAGE 6 OF 6

Before shipment

Does what ships match what you approved?

- ☐ **Inspection standard.** Agree in writing, before production starts, who inspects, at which stages, and the AQL level and defect classes (2.5 is commonly used for major defects on general merchandise).
- ☐ **Mid-production check.** Plan an inspection when 20–40% of the order is complete, while a problem can still be corrected cheaply.
- ☐ **Pre-shipment inspection.** Book an independent inspector, not the factory's own quality-control team, for when 80–100% of the goods are finished and packed.
- ☐ **Product check.** Have the inspector check quantity, dimensions, function, materials, labeling and workmanship against your approved sample and specification.
- ☐ **Packaging.** Check the packaging against the specification and, for fragile products or long routes, ask for a carton drop test.
- ☐ **Marks and labels.** Check carton shipping marks, product labels and barcodes against your order and the labeling your destination market requires.
- ☐ **Documents.** Check that the commercial invoice, packing list and transport document match the order in names, quantities and values, and that the certificates you asked for are included.
- ☐ **Release the balance.** Pay the balance only after you have accepted the inspection report and the documents, and keep the report, the photos and the approved sample in case you need to make a claim.